



Ivy Re Limited

Consolidated financial statements

As of December 31, 2025, and 2024

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of
Ivy Re Limited

Opinion

We have audited the consolidated financial statements of Ivy Re Limited and subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the related consolidated statements of income (loss), comprehensive income (loss), shareholder's equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended, in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Deloitte & Touche LLP

April 23, 2026

IVY RE LIMITED AND SUBSIDIARIES

CONSOLIDATED BALANCE SHEETS

	As of December 31,	
	2025	2024
(\$ in thousands)		
Assets		
Investments:		
Fixed maturity securities, available-for-sale, at fair value (amortized cost: \$76,122 and \$100,390, respectively.)	\$ 69,540	\$ 88,038
Funds withheld receivable at interest (portion at fair value: \$(1,732,276) and \$(1,914,953), respectively.)	10,315,524	11,359,419
Other investments at fair value	2,154	22,505
Total investments	10,387,218	11,469,962
Cash and cash equivalents	75,894	62,753
Accrued investment income	721	1,170
Reinsurance receivable	688,462	723,302
Cost of reinsurance assets	130,327	143,294
Other assets	7,650	9,294
Total assets	11,290,272	12,409,775
Liabilities		
Policy liabilities (portion at fair value: \$133,541 and \$177,634, respectively.)	11,276,837	12,250,878
Other liabilities	7,746	7,643
Reinsurance liabilities	23,802	25,609
Total liabilities	11,308,385	12,284,130
Commitment and contingencies (Note 13)		
Shareholder's equity		
Common stock, \$1 par value, 250,000 shares authorized, issued and outstanding	250	250
Additional paid-in capital	484,440	569,440
Retained earnings (deficit)	(1,408,334)	(1,576,706)
Accumulated other comprehensive income (loss)	905,531	1,132,661
Total shareholder's equity	(18,113)	125,645
Total liabilities and shareholder's equity	\$ 11,290,272	\$ 12,409,775

See accompanying notes to consolidated financial statements.

IVY RE LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF INCOME (LOSS)

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Revenues		
Premiums	\$ 94,450	\$ 111,960
Policy fees	385	918
Net investment income (loss)	463,814	592,740
Net investment-related gains (losses)	126,843	221,334
Total revenues	685,492	926,952
Benefits and expenses		
Policy benefits and claims (remeasurement (gain) loss on policy liabilities \$— and \$(390), respectively.)	345,385	403,342
Amortization of cost of reinsurance assets	12,966	10,443
Insurance expenses	50,979	60,993
General and administrative expenses	14,577	16,366
Total benefits and expenses	423,907	491,144
Income (loss) before income taxes	261,585	435,808
Income tax expense (benefit)	(4,287)	(212)
Net income (loss)	\$ 265,872	\$ 436,020

See accompanying notes to consolidated financial statements.

IVY RE LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS)

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Net income (loss)	\$ 265,872	\$ 436,020
Other comprehensive income (loss):		
Unrealized gains (losses) on available-for-sale securities	4,165	2,453
Less: reclassification adjustment for gains (losses) included in net income (loss)	(1,605)	—
Unrealized gains (losses) on available-for-sale securities	5,770	2,453
Effect of changes in the discount rates used to measure limited-payment long duration insurance contracts	(232,900)	36,231
Other comprehensive income (loss)	(227,130)	38,684
Comprehensive income (loss)	\$ 38,742	\$ 474,704

See accompanying notes to consolidated financial statements.

IVY RE LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF SHAREHOLDER'S EQUITY

	Common stock	Additional paid-in capital	Retained earnings (deficit)	Accumulated other comprehensive income (loss)	Total shareholder's equity
(\$ in thousands)					
Balance as of December 31, 2023	\$ 250	\$ 668,440	\$ (1,756,726)	\$ 1,093,977	\$ 5,941
Net income (loss)	—	—	436,020	—	436,020
Other comprehensive income (loss)	—	—	—	38,684	38,684
Dividends	—	—	(256,000)	—	(256,000)
Return of capital	—	(99,000)	—	—	(99,000)
Balance as of December 31, 2024	\$ 250	\$ 569,440	\$ (1,576,706)	\$ 1,132,661	\$ 125,645
Net income (loss)	—	—	265,872	—	265,872
Other comprehensive income (loss)	—	—	—	(227,130)	(227,130)
Dividends	—	—	(97,500)	—	(97,500)
Return of capital	—	(85,000)	—	—	(85,000)
Balance as of December 31, 2025	\$ 250	\$ 484,440	\$ (1,408,334)	\$ 905,531	\$ (18,113)

See accompanying notes to consolidated financial statements.

IVY RE LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Cash flows from operating activities		
Net income (loss)	\$ 265,872	\$ 436,020
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Net investment and policy liability related (gains) losses	(170,935)	(221,369)
Net accretion and amortization	10,287	9,809
Interest credited to policy account balances less policy fees	175,044	195,829
Deferred income tax expense (benefit)	(4,287)	(212)
Changes in operating assets and liabilities:		
Change in premiums, funds withheld, and reinsurance receivable, net of reinsurance premiums payable	1,225,793	1,545,275
Change in cost of reinsurance assets	778	(30)
Change in accrued investment income	449	(159)
Change in policy liabilities and accruals, net	(415,681)	(439,957)
Other operating activities, net	5,828	(9,243)
Net cash provided by (used in) operating activities	1,093,148	1,515,963
Cash flows from investing activities		
Proceeds from disposals of available-for-sale fixed maturity securities	25,471	54
Proceeds from maturities of available-for-sale fixed maturity securities	1,200	—
Purchase of available-for-sale fixed maturity securities	(4,771)	—
Purchase of other investments	(66)	(98)
Other investing activities, net	8	3
Net cash provided by (used in) investing activities	21,842	(41)
Cash flows from financing activities		
Additions to contractholder deposit funds	61,097	67,951
Withdrawals from contractholder deposit funds	(980,446)	(1,258,223)
Return of capital	(85,000)	(99,000)
Dividends paid	(97,500)	(256,000)
Net cash provided by (used in) financing activities	(1,101,849)	(1,545,272)
Net change in cash and cash equivalents	13,141	(29,350)
Cash and cash equivalents, beginning of period	62,753	92,103
Cash and cash equivalents, end of period	\$ 75,894	\$ 62,753
Supplemental cash flow information		
Income tax payments (receipts)	\$ —	\$ 1

See accompanying notes to consolidated financial statements.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(1) Nature of business and basis of presentation

Ivy Re Limited (together with its subsidiaries, “Ivy Re,” the “Company,” we, our, or us) was incorporated on March 6, 2020, and is a Bermuda exempted limited liability company, registered under the Insurance Act of 1978 as a Class E insurer. The Company served the reinsurance marketplace as a reinsurer primarily for transactions sourced, negotiated, and underwritten by subsidiaries of Global Atlantic Limited (Delaware) (“the Sponsor,” “Global Atlantic,” or “GALD”). The reinsurance solutions included primarily reinsurance of life and retirement blocks and pension risk transfer. The Company operates independently, leveraging Global Atlantic’s proven reinsurance expertise. Through the co-investment framework, the Company accessed an attractive opportunity to deploy the Company’s ultimate parent investor capital while assisting life and annuity companies in addressing capital, risk management, and strategic objectives. The Company’s ultimate parent has fully drawn on its capital commitments and originated reinsurance transactions taking advantage of the full capital commitment provided. As of December 31, 2025, the Company is running off the books of business originated and is not originating any new business.

The accompanying consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“U.S. GAAP”), which differ in certain respects from those followed in reports to the Bermuda Monetary Authority (the “BMA”), the insurance regulatory authority of Ivy Re.

The consolidated financial statements reflect the reinsurance transactions entered into between Ivy Re and certain ceding insurance companies (“Sponsor Insurance Subsidiaries”). These reinsurance transactions comprise pension risk transfer and block reinsurance transactions, as described in Note 11 — “Reinsurance.”

The preparation of consolidated financial statements in conformity with U.S. GAAP requires the Company to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of any contingent assets and liabilities as of the date of the consolidated financial statements, and the amounts of revenues and expenses recognized during the reporting period. Amounts based on such estimates involve numerous assumptions subject to varying and potentially significant degrees of judgment and uncertainty, particularly related to the future performance of the underlying business. Actual experience could materially differ from these estimates and assumptions. The most significant estimates are those used in determining valuation and impairment of investments, valuation of embedded derivatives, and valuation of policy liabilities.

The consolidated financial statements include the results of operations and financial position of the Company and all other entities in which the Company has a controlling financial interest. All intercompany accounts and transactions have been eliminated in consolidation.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(2) Significant accounting policies

The following are the Company's significant accounting policies and references to notes providing additional information on policies:

Accounting policy	Note
Investments	3, 4 and 5
Composition of other assets, liabilities, insurance expenses, and general and administrative expenses	6
Policy liabilities	7
Income taxes	10
Reinsurance	11

Investments

In the normal course of business, the Company enters into reinsurance transactions with the Sponsor Insurance Subsidiaries and invests surplus assets in various types of investments.

Investments include the following: available-for-sale ("AFS") fixed maturity securities, funds withheld receivable at interest ceded by the Sponsor Insurance Subsidiaries and other investments.

Available-for-sale fixed maturity securities

The Company primarily accounts for its fixed maturity securities (including bonds and structured securities) as available-for-sale ("AFS"). AFS fixed maturity securities are generally recorded on a trade-date basis, and are carried at fair value. Impairment associated with AFS fixed maturity securities is recognized as an allowance for credit losses. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the consolidated statements of income (loss) for securities identified as credit impaired after purchase, or by a gross-up recognition of an initial allowance for purchased credit deteriorated ("PCD") securities.

PCD securities are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. The Company considers an AFS fixed maturity security to be PCD if there are indicators of a credit loss at the acquisition date or, in the case of structured securities, if there is a significant difference between contractual cash flows and expected cash flows at acquisition. The initial amortized cost for a PCD security equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a discounted cash flow method, based on the best estimate of the present value of cash flows expected to be collected. After purchase, the accounting for a PCD security is generally consistent with that applied to all other securities.

Unrealized gains and losses on AFS fixed maturity securities, net of tax, are reported in accumulated other comprehensive income (loss) in the consolidated balance sheets. Realized investment gains and losses are recognized on a first-in, first-out basis, and are reported in net investment-related gains (losses) in the consolidated statements of income (loss). The amortized cost of fixed maturity securities is adjusted for impairment charge-offs, amortization of premiums, and accretion of discounts. Such amortization and accretion is calculated using the effective yield method and included in net investment income (loss) in the consolidated statements of income (loss).

For structured securities, the Company recognizes interest income utilizing a constant effective yield based on estimated cash flows generated from internal models utilizing interest rate, default and

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

prepayment assumptions. Effective yields for structured securities that are not of high credit quality are recalculated and adjusted prospectively based on changes in expected undiscounted future cash flows, after consideration of any appropriate recognition or release of an allowance for credit losses. For structured securities that are of high credit quality, effective yields are recalculated based on payments received and updated prepayment expectations, and amortized cost is adjusted to the amount that would have existed had the new effective yield been applied since acquisition, with a corresponding charge or credit to net investment income (loss). Prepayment fees are recorded when earned in net investment income in the consolidated statements of income (loss).

The Company generally suspends accrual of interest for securities that are more than 90 days past due, and reverses any related accrued interest to net investment income (loss) in the consolidated statements of income (loss). When a security is in non-accrual status, coupon payments are recognized as interest income as cash is received, subject to consideration as to the overall collectability of the security. A security is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Funds withheld receivable at interest

Funds withheld receivable at interest represent receivables for amounts contractually withheld by the Sponsor Insurance Subsidiaries, in accordance with reinsurance agreements in which the Company acts as the reinsurer. While the assets in funds withheld are legally owned by the ceding company, the assets are separately identified and held in trusts for the benefit of the Company. All economic rights and obligations on the assets accrue to the Company. The assets in the funds withheld segregated accounts are typically managed by an investment manager, who periodically settles the total return from those assets.

The reinsurer has an indirect exposure to the credit risk of the underlying assets of the funds withheld account. As a result, funds withheld coinsurance agreements contain embedded derivatives, which are required to be separated from their host contracts and measured at fair value. The host contract relates to the reinsurance receivable from Sponsor Insurance Subsidiaries under the funds withheld arrangement underlying the reinsurance transactions. The host contract, at inception of the reinsurance arrangement, represented the fair value of the non-cash consideration. The embedded derivative represents the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the consolidated balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the consolidated statements of income (loss).

Investments segregated in trusts to collateralize the funds withheld receivable at interest include the following: fixed maturity securities, mortgage and other loan receivables, policy loans, other investments, and derivative instruments.

Derivative instruments held within the funds withheld at interest are primarily used to hedge certain risks, including interest rate risk and equity market risk, and to a lesser extent foreign exchange risks. Derivative instruments are generally recognized at estimated fair value in funds withheld receivable at interest on the consolidated balance sheets.

Other investments

Other investments in the consolidated balance sheets include the Company's investments in investment partnerships or limited liability companies, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of

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accounting, unless the Company's interest is so minor that it has virtually no influence over partnership operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost, and the carrying amount of the investment subsequently be adjusted to recognize the Company's share of the earnings and losses of the investee. Where there is a difference between the cost of the investment and the Company's proportionate share of the equity method investee's net assets, this basis difference is accreted to net investment income (loss) over the life of the underlying assets. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements. For those investments in which we are determined to have virtually no influence, the Company accounts for its investment as an equity security.

The income from the Company's equity method investments is included in net investment income (loss) in the consolidated statements of income (loss). The Company generally elects to apply the fair value option to its interests in investment partnerships or limited liability companies that would otherwise require equity method accounting. The investments that apply the fair value option, as well as those investments in which the Company is determined to have virtually no influence, are carried at fair value with unrealized gains and losses reported in net investment-related gains (losses) in the consolidated statements of income (loss). Distributions from investment partnerships that apply equity method accounting are classified as investing or operating activities within the consolidated statements of cash flows, based on the nature of the distributions.

Investment credit losses and impairment

AFS fixed maturity securities

One of the significant estimates related to AFS securities is the evaluation of those investments for credit losses. The evaluation of investments for credit losses is a quantitative and qualitative quarterly process that is subject to risks and uncertainties and involves significant estimates and judgments by management. Changes in the estimates and judgments used in such analysis can have a significant impact on the Company's consolidated statements of income (loss). Considerations relevant to the evaluation of credit losses may include the severity of any loss position, as well as changes in market interest rates, changes in business climate, management changes, litigation, government actions, and other similar factors that may impact an issuer's ability to meet current and future principal and interest obligations. Indicators of credit impairment may also include changes in credit ratings, the frequency of late payments, pricing levels, and deterioration in any, or a combination of, key financial ratios, financial statements, revenue forecasts, and cash flow projections.

For AFS fixed maturity securities in an unrealized loss position, the Company first considers the intent to sell a security, or whether it is more-likely-than-not that it will be required to sell the security, before the recovery of its amortized cost. If the Company intends to sell an AFS fixed maturity security with an unrealized loss or it is more-likely-than-not that it will be required to sell an AFS fixed maturity security with an unrealized loss before recovery of its amortized cost basis, the amortized cost is written down to fair value and a corresponding charge is recognized to net investment-related gains (losses).

For AFS fixed maturity securities in an unrealized loss position that the Company does not intend to sell, and will not be required to sell, the Company bifurcates the impairment into two components: credit impairment and non-credit impairment. Credit impairments are measured as the difference between the security's cost or amortized cost and its estimated recoverable value, which is the present value of its expected future cash flows discounted at the current effective interest rate. The estimated recoverable value is subject to a floor equal to the fair value of the security. The remaining difference between the security's fair value and the recoverable value, if any, is the non-credit impairment. Credit impairments are recognized in the allowance for credit losses on AFS fixed maturity securities, which is established via a charge to net investment-related gains (losses) in the consolidated statements of income (loss) and non-

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

credit impairments are charged to accumulated other comprehensive income (loss) in the consolidated balance sheets.

In determining the estimated recoverable value, the review of expected future cash flows for structured securities includes assumptions about key systemic risks (e.g., unemployment rates, housing prices) and loan-specific information (e.g., delinquency rates, loan-to-value ratios). Estimating future cash flows is a quantitative and qualitative process that incorporates information received from third parties, along with assumptions and judgments about the future performance of the underlying collateral. For corporate and government bonds, the recoverable value is determined using cash flow estimates that consider facts and circumstances relevant to the security and the issuer, including overall financial strength and secondary sources of repayment, as well as pending restructuring or disposition of assets.

In periods subsequent to the initial recognition of an allowance for credit losses on a fixed maturity security, whether for a PCD security or a security impaired since purchase, the Company continues to monitor credit loss expectations. Deterioration in the estimated recoverable value of a credit impaired security is recognized as an addition to the allowance for credit losses, as limited by the amount by which the security's fair value is less than amortized cost. Improvements in the estimated recoverable value of a credit impaired security or improvements in the fair value of a credit impaired security that limit the amount of the allowance result in reductions in the allowance for credit losses, which are recognized as a credit to net investment-related gains (losses) in the consolidated statements of income (loss).

Amounts are charged off against the allowance for credit losses when deemed uncollectible, or when the Company determines that it intends to sell, or more likely than not will be required to sell, the security. Charge-offs are reflected as a decrease in the allowance and a direct write down in the amortized cost of the security. If the Company recovers all or a portion of an amount previously written off on a credit impaired security, the recovery is recognized as a realized investment gain.

Funds withheld receivable at interest

The Company reviews its funds withheld receivable at interest for expected credit losses considering, among other things, relevant credit enhancements and collateral provisions in the reinsurance arrangements.

Other investments

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary, and is measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Cash and cash equivalents

Cash and cash equivalents in the consolidated balance sheets generally include short-term highly liquid investments with a maturity of three months or less from the date of acquisition. Amounts included are readily convertible to known amounts of cash, and are subject to an insignificant risk of change in value.

Policy liabilities

Policy liabilities (or collectively, "reserves") are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

these reserves and on future premiums, which may also be available to pay for future obligations. The Company establishes reserves to pay future policy benefits, claims, and certain expenses for its reinsured life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, investment results (including equity market returns), mortality, longevity, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policy benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. The Company cannot, however, determine with precision the amount or the timing of actual policy benefit payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policy benefits and expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to the Company's net income (loss) during the period in which excess policy benefits are paid, or an increase in reserves occurs.

For a majority of the Company's in-force policies, including its universal life policies and most annuity contracts, the base policy reserve is equal to the account value. For these products, the account value represents the Company's obligation to repay to the policyholder the amounts held on deposit. However, there are several significant blocks of business where additional policyholder reserves are explicitly calculated, including fixed-rate and fixed-indexed annuities, and universal life policy guarantees.

Fixed-rate and fixed-indexed annuities

The Company reinsures fixed-indexed annuities and certain other fixed-rate annuity products, for which the policy liabilities are determined in a manner consistent with the accounting for a deposit liability using the "effective yield method."

Fixed-indexed annuities enable the policyholder to allocate contract value between a fixed crediting rate and strategies which reflect the change in the value of an index, such as the Standard & Poor's ("S&P") 500 Index, or other indices. These products are accounted for as investment-type contracts. The liability for these products consists of a combination of the underlying account value and an embedded derivative value.

The liability for the underlying account value is primarily based on policy guarantees, and its initial value is the difference between the premium payment and the fair value of the embedded derivative. Thereafter, the account value liability is determined using the effective yield method. All future host balances are determined as: (1) the initial host balance; (2) plus interest; (3) less applicable policyholder benefits. The interest rate used in the prior roll forward is re-determined on each valuation date, per the effective yield method. The embedded derivative component's fair value is based on an estimate of the policyholders' expected participation in future increases in the relevant index. The fair value of this embedded derivative component includes assumptions, including those about future interest rates and investment yields, future costs for options used to hedge the contract obligations, projected withdrawal and surrender activity, benefit utilization, and the level and limits on contract participation in any future increases in the respective index option. The account value liability and embedded derivative are recorded in policy liabilities in the consolidated balance sheets, with changes in value of the liabilities recorded in policy benefits and claims in the consolidated statements of income (loss).

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Interest sensitive life products

The Company reinsures universal life policies, for which the base policy reserve is the policyholder account value. For these products, the account value represents the Company's obligation to repay to the policyholder the amounts held on deposit. Additional liabilities are held for other insurance benefit guarantees, if applicable.

Traditional life and limited-payment contracts

Liability for future policy benefits

The Company reinsures traditional life and limited-payment contracts, for which the Company records a liability for future policy benefits. A liability for future policy benefits, which is the present value of estimated future policy benefits to be paid to or on behalf of policyholders and certain related expenses less the present value of estimated future net premiums to be collected from policyholders, is accrued as premium revenue is recognized. The liability is estimated using best estimate assumptions that include mortality and lapse. These assumptions are based on judgments that consider the Company's historical experience, industry data, and other factors.

Contracts are grouped into cohorts by the underlying reinsured contract type and issue year. The liability is adjusted for differences between actual and expected experience. With the exception of the expense assumption, the Company reviews its historical and future cash flow assumptions at least annually, and updates the net premium ratio used to calculate the liability each time the assumptions are changed. The Company has elected to use expense assumptions that are locked in at contract inception and are not subsequently reviewed or updated.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is presented parenthetically as a separate component of benefit expense in the consolidated statements of income (loss).

The discount rate assumption is a spot rate yield curve that is derived based on upper medium grade (low credit risk) fixed-income instruments with similar duration to the liability. The Company uses one or more external indices of corporate credit issues as its proxy for these instruments. The discount rate assumption is updated quarterly and used to remeasure the liability at the reporting date, with the resulting change in the discount rate reflected in other comprehensive income (loss) ("OCI"). For liability cash flows between two market observable points on the yield curve, the Company interpolates the effective yield by holding the marginal rates constant. For liability cash flows that are projected beyond the last market-observable point on the yield curve, the Company uses the last market-observable yield level.

Limited-payment contracts

The Company reinsures limited-payment contracts, or payout annuities. These contracts subject the insurer to risks over a period that extends beyond the period or periods in which premiums are collected. These contracts may be either non-life contingent or life contingent. Non-life contingent annuities are accounted for as investment contracts. For life contingent annuities, the Company records a liability at the present value of future annuity payments and estimated future expenses calculated using expected

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

mortality and costs, and expense assumptions. Any gross premiums received in excess of the net premium is the cost of reinsurance and is recognized separately in income over the term of the reinsured policies, on a basis consistent with the reporting of those policies for long-duration contract. Cost of reinsurance assets and liabilities are reported in cost of reinsurance assets and policy liabilities in the consolidated balance sheets.

Also included under payout annuities are liabilities for disability income benefits, which pertain primarily to disability income policies that are already in claim payout status. Liabilities for disability income benefits are calculated as the present value of future disability payments and estimated future expenses, using expected mortality and costs as well as interest assumptions. The liabilities are recorded in policy liabilities in the consolidated balance sheets.

Whole life

Contractholder deposit reserves for certain assumed blocks of whole life policies where mortality risk is retained by the ceding company are accounted for as investment-type contracts. A net liability is established at inception for the net consideration, and amortized using the effective yield method.

Reinsurance

The Company co-invests in block and pension risk transfer reinsurance transactions with its Sponsor Insurance Subsidiaries. In particular, consistent with the overall business strategy, the Company assumes certain policy risks written by other insurance companies on a modified coinsurance or funds withheld coinsurance basis. Reinsurance accounting is applied for these assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss.

The cost of reinsurance, which is the difference between the amount paid for a reinsurance contract and the amount of the liabilities for policy benefits relating to the underlying reinsured contracts, is deferred and amortized over the reinsurance contract period for short-duration contracts, or over the terms of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contracts. Generally, the Company amortizes cost of reinsurance based on policy count or effective yield method, retrospectively calculated based on actual and projected future cash flows. Cost of reinsurance assets and liabilities are reported in cost of reinsurance assets and policy liabilities in the consolidated balance sheets, respectively. Reinsurance contracts do not relieve the Company from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to the Company; consequently, allowances are established for expected credit losses, via a charge to policy benefits and claims in the consolidated statements of income (loss). The Company's funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default, and the impact of other terms specific to the reinsurance arrangement.

For funds withheld and modified coinsurance agreements, the Company has the right to receive the total return on assets supporting the funds withheld receivable at interest. This indirectly exposes the Company to the credit risk of the underlying assets. As a result, funds withheld and modified coinsurance agreements are viewed as total return swaps, and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value, with changes in fair value recognized in net income (loss). Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld

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receivable at interest on the consolidated balance sheets. Changes in the fair value of the embedded derivative are reported in operating activities on the consolidated statements of cash flows.

Placement fees and structuring fee

Placement fees represent fees paid to agents that assist in raising capital for the Company and are reimbursed by the Sponsor. Placement fees were incurred when investor capital commitments were called. Payments of placement fees are reported as a financing activity in the consolidated statements of cash flows.

The placement fees that are reimbursed by the Sponsor are recognized as a deduction from general and administrative expenses over the life of the Company's reinsurance transaction business. The reimbursement of the placement fees is reported as an operating activity in the consolidated statements of cash flows. The corresponding deferred expense reduction liability is included in other liabilities in the consolidated balance sheets.

The structuring fee represents fees paid by the Company for advice on the design and setup of the Company. This fee is expensed as incurred, and reimbursed by the Sponsor as a deduction from service fees. The structuring fee is reported as an operating activity in the consolidated statements of cash flows. Since the structuring fee is reimbursed by the Sponsor, a receivable is established with a corresponding deferred expense reduction liability that is recognized into income over the life of the reinsurance transactions. The reimbursement of the structuring fee is reported as an operating activity in the consolidated statements of cash flows.

Recognition of insurance revenue and related benefits

Premiums related to whole life and term life insurance contracts and payout contracts with life contingencies are recognized in premiums in the consolidated statements of income (loss) when due from the contractholders.

Amounts received as payment for universal life and investment-type contracts are reported as deposits to contractholder account balances, and recorded in policy liabilities in the consolidated balance sheets. Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for mortality, policy administration, separate account administration, and surrender charges, and are reported in policy fees in the consolidated statements of income (loss). Additionally, the Company earns investment income from the investment of contract deposits, generated through the Company's funds withheld receivable, which is reported in net investment income (loss) in the consolidated statements of income (loss).

Income taxes

The Company operates certain subsidiaries in jurisdictions where they are subject to taxation. Income taxes are provided for using the asset and liability method, under which deferred tax assets and liabilities are recognized for temporary differences between the financial reporting and tax basis of assets and liabilities. The Company evaluates the likelihood of realizing the benefit of deferred tax assets and may record a valuation allowance if, based on the weight of all available evidence, the Company determines that it is not more-likely-than-not that some or all of the tax benefit will be realized. The Company adjusts the valuation allowance if, based on its evaluation, there is a change in the amount of deferred income tax assets that are deemed more-likely-than-not to be realized.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The Company recognizes tax positions in the consolidated financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority, based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized upon effective settlement with the related taxing authority. A liability is established for differences between positions taken on a tax return and amounts recognized in the consolidated financial statements.

The Company records the effect of changes in tax laws or rates at the date of enactment. The total effect of a tax law or rate change on the deferred tax balance is recorded as a component of tax expense related to continuing operations for the period in which the law is enacted.

Adoption of new accounting pronouncements**Scope application of profits interest and similar awards**

In March 2024, the FASB issued ASU 2024-01 "Compensation - Stock Compensation (Topic 718: Scope Application of Profits Interest and Similar Awards)" ("ASU 2024-01"). ASU 2024-01 amends the guidance in Accounting Standard Codification 718 ("ASC 718") by adding an illustrative example to demonstrate and clarify how to apply the scope guidance to determine whether profits interests and similar awards should be accounted for as a share-based payment arrangement under ASC 718 or another standard. The Company adopted this accounting standard effective for the year ended December 31, 2025 and its adoption did not have a material impact on the Company's consolidated financial statements.

Future application of accounting standards**Improvements to income tax disclosures**

In December 2023, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2023-09 "Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. The guidance is effective for annual periods beginning after December 15, 2025, with early adoption permitted. The guidance is not expected to have a material impact on the Company's consolidated financial statements.

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025-05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025-05"). ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its consolidated financial statements.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(3) Investments

Fixed maturity securities

The cost or amortized cost and fair value for AFS fixed maturity securities were as follows:

As of December 31, 2025	Cost or amortized cost	Gross unrealized		Fair value ⁽¹⁾
		gains	losses	
(\$ in thousands)				
AFS fixed maturity securities portfolio by type:				
Corporate	\$ 68,222	\$ 99	\$ (6,476)	\$ 61,845
Collateralized loan obligations ("CLOs")	7,900	21	(226)	7,695
Total AFS fixed maturity securities	\$ 76,122	\$ 120	\$ (6,702)	\$ 69,540

(1) There is no allowance for credit losses recognized as of December 31, 2025.

As of December 31, 2024	Cost or amortized cost	Gross unrealized		Fair value ⁽¹⁾
		gains	losses	
(\$ in thousands)				
AFS fixed maturity securities portfolio by type:				
Corporate	\$ 91,290	\$ —	\$ (12,064)	\$ 79,226
CLOs	9,100	17	(305)	8,812
Total AFS fixed maturity securities	\$ 100,390	\$ 17	\$ (12,369)	\$ 88,038

(1) There is no allowance for credit losses recognized as of December 31, 2024.

The maturity distribution for AFS fixed maturity securities is as follows:

	As of December 31, 2025	
	Cost or amortized cost	Fair value
(\$ in thousands)		
Due after one year through five years	\$ 24,471	\$ 22,930
Due after five years through ten years	43,751	38,915
Subtotal	68,222	61,845
CLOs	7,900	7,695
Total AFS fixed maturity securities	\$ 76,122	\$ 69,540

Actual maturities may differ from contractual maturities because borrowers may have the right to call or prepay obligations with or without call or prepayment penalties, or the Company may have the right to put or sell the obligations back to the issuers. Structured securities are shown separately, as they have periodic payments and are not due at a single maturity.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Securities in a continuous unrealized loss position

The following tables provide information about the Company's AFS fixed maturity securities that have been continuously in an unrealized loss position:

As of December 31, 2025	Less than 12 months		12 months or more		Total	
	Fair value	Unrealized losses	Fair value	Unrealized losses	Fair value	Unrealized losses
(\$ in thousands)						
AFS fixed maturity securities portfolio by type:						
Corporate	\$ —	\$ —	\$ 56,998	\$ (6,476)	\$ 56,998	\$ (6,476)
CLOs	—	—	2,899	(226)	2,899	(226)
Total	\$ —	\$ —	\$ 59,897	\$ (6,702)	\$ 59,897	\$ (6,702)

As of December 31, 2024	Less than 12 months		12 months or more		Total	
	Fair value	Unrealized losses	Fair value	Unrealized losses	Fair value	Unrealized losses
(\$ in thousands)						
AFS fixed maturity securities portfolio by type:						
Corporate	\$ —	\$ —	\$ 79,226	\$ (12,065)	\$ 79,226	\$ (12,065)
CLOs	—	—	2,820	(305)	2,820	(305)
Total	\$ —	\$ —	\$ 82,046	\$ (12,370)	\$ 82,046	\$ (12,370)

Unrealized gains and losses can be created by changing interest rates or several other factors, including changing credit spreads. The single largest unrealized loss on AFS fixed maturity securities was \$1.4 million and \$2.0 million as of December 31, 2025, and 2024, respectively. The Company had 10 and 13 securities in an unrealized loss position as of December 31, 2025, and 2024, respectively. The Company had 10 and 13 securities in an unrealized loss position for twelve months or more as of December 31, 2025, and 2024, respectively.

Funds withheld receivable at interest

As a reinsurance business, the Company is subject to the investment performance of the assets in the funds withheld receivable at interest. In the event of a ceding company's insolvency, the Company would need to assert a claim on the assets supporting its reserve liabilities. However, the risk of loss to the Company is mitigated by its ability to offset amounts it owes the ceding company for claims or allowances against amounts owed to it from the ceding company. As of both December 31, 2025, and 2024, the assets held supporting the reinsurance agreement were held by three Sponsor Insurance Subsidiaries. Each of the three cedants, Commonwealth Annuity and Life Insurance Company ("CWA"), First Allmerica Financial Life Insurance Company ("FAFLIC"), and Global Atlantic Assurance Limited ("GAAL") have financial strength ratings of "A" from S&P.

Other investments

As of December 31, 2025, and 2024, the Company had \$2.2 million and \$22.5 million of investments in entities that own real estate, respectively. These investments qualify as equity method investments; however, the Company has elected to apply the fair value option. The Company's maximum exposure to loss related to these investments is limited to the carrying value of these investments.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Net investment income (loss)

Net investment income (loss) is comprised primarily of interest income, including amortization of premiums and accretion of discounts, based on yields which change due to expectations in projected cash flows, and income from funds withheld receivable at interest

The components of net investment income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Income assumed from funds withheld receivable at interest	\$ 482,934	\$ 613,165
Fixed maturity securities - interest and other income	2,068	2,324
Short-term and other investment income	1,686	2,714
Gross investment income	486,688	618,203
Less investment expenses:		
Investment management fees	22,874	25,463
Net investment income (loss)	\$ 463,814	\$ 592,740

Net investment-related gains (losses)

Net investment-related gains (losses) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Unrealized gains (losses) on embedded derivative included in funds withheld receivable at interest	\$ 182,677	\$ 213,524
Realized gains (losses) on funds withheld receivable at interest	(33,813)	8,818
Realized gains (losses) on AFS fixed maturity securities	(1,605)	—
Unrealized gains (losses) on other investments	(20,416)	(1,008)
Net investment-related gains (losses)	\$ 126,843	\$ 221,334

Proceeds and gross gains and losses from voluntary sales

The proceeds from voluntary sales and the gross gains and losses on those sales of AFS fixed maturity securities were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
AFS fixed maturity securities:		
Proceeds from voluntary sales	\$ 25,443	\$ —
Gross losses	(1,605)	—

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(4) Derivatives

The Company has embedded derivatives related to reinsurance contracts that are accounted for on a modified coinsurance and funds withheld basis; an embedded derivative exists because the arrangement exposes the reinsurer to third-party credit risk. The Company also has embedded derivatives related to insurance liabilities including fixed-indexed annuities. These embedded derivatives are included in funds withheld receivable at interest and policy liabilities in the consolidated balance sheets.

The fair value of the derivatives was as follows:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Embedded derivative – funds withheld receivable at interest	\$ (1,732,276)	\$ (1,914,953)
Embedded derivative – annuity products	133,541	177,634

(5) Fair value disclosure of financial instruments

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (the exit price). The best evidence of fair value is a quoted price in an active market. If listed prices or quotations are not available, fair value is determined by reference to prices of similar instruments and quoted prices or recent prices in less active markets.

U.S. GAAP establishes a three-level valuation hierarchy, based upon observable and non-observable inputs. Observable inputs reflect market data obtained from independent sources, while unobservable inputs reflect the Company's market assumptions. The fair value hierarchy prioritizes inputs to the valuation techniques used to measure fair value, giving the highest priority to Level 1 inputs, and the lowest priority to Level 3 inputs. A financial instrument's level in the fair value hierarchy is based on the lowest level of any input that is significant to fair value measurement of the financial instrument. The three levels of the fair value hierarchy are described below:

Basis of fair value measurement

Level 1: Unadjusted quoted prices in active markets to which the Company had access at the measurement date for identical, unrestricted assets and liabilities.

Level 2: Inputs to valuation techniques are observable either directly or indirectly through quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations whose inputs are observable or whose significant value drivers are observable; and

Level 3: Model-derived, where one or more inputs to the valuation techniques are significant and unobservable.

The measurement of Level 3 financial instrument fair values uses unobservable inputs that are based on management judgment and the internal determination of assumptions that market participants would use in valuing them. Valuation subjectivity increases when markets are less liquid due to the lack of more transparent, market-based inputs, which may increase the potential that estimated fair values are not reflective of the price at which an actual transaction would occur.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The following tables represent the hierarchy for the Company's assets and liabilities measured at fair value on a recurring basis:

As of December 31, 2025	Level 1		Level 2		Level 3		Total
(\$ in thousands)							
Assets:							
AFS fixed maturity securities:							
CLOs	\$	—	\$	6,036	\$	1,659	\$ 7,695
Corporate		—		61,845		—	61,845
Total AFS fixed maturity securities		—		67,881		1,659	69,540
Embedded derivative – funds withheld receivable at interest		—		—		(1,732,276)	(1,732,276)
Other investments		—		—		2,154	2,154
Total assets at fair value		—		67,881		(1,728,463)	(1,660,582)
Liabilities:							
Embedded derivative – annuity products		—		—		133,541	133,541
Total liabilities at fair value	\$	—	\$	—	\$	133,541	\$ 133,541

As of December 31, 2024	Level 1		Level 2		Level 3		Total
(\$ in thousands)							
Assets:							
AFS fixed maturity securities:							
CLOs	\$	—	\$	5,953	\$	2,859	\$ 8,812
Corporate		—		79,226		—	79,226
Total AFS fixed maturity securities		—		85,179		2,859	88,038
Embedded derivative – funds withheld receivable at interest		—		—		(1,914,953)	(1,914,953)
Other investments		—		—		22,505	22,505
Total assets at fair value		—		85,179		(1,889,589)	(1,804,410)
Liabilities:							
Embedded derivative – annuity products		—		—		177,634	177,634
Total liabilities at fair value	\$	—	\$	—	\$	177,634	\$ 177,634

Fair value techniques and inputs

The following is a description of the valuation techniques and inputs used for instruments carried at fair value. The observability of the inputs used in the valuation determines the appropriate level in the fair value hierarchy for the respective asset or liability.

Investments

Investments, such as fixed maturity securities for which quoted market prices from active markets are not available, are priced using observable inputs, which can be verified to quoted prices, recent trading activity for identical or similar instruments, broker or dealer quotations, or alternative pricing sources, with reasonable levels of price transparency. Consideration is given to the nature of the quotations and the relationship of recent market activity to the prices provided by alternative pricing sources. Other investments having one or more significant valuation inputs that are not observable are initially valued at

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

transaction price, which is considered to be the best initial estimate of fair value. Subsequently, the Company uses other methodologies to determine fair value, which vary based on the type of investment.

Valuation inputs and assumptions are changed when corroborated by substantive observable evidence, including values realized on sales.

Funds withheld receivable at interest and policy liabilities

A portion of the funds withheld receivable at interest carried at fair value represents embedded derivatives, and is valued based on the fair value of the underlying investments, which includes significant unobservable inputs.

Policy liabilities carried at fair value are valued using present value techniques that discount estimated liability cash flows at a rate that reflects the riskiness of those cash flows, and also consider policyholder behavior (lapse rates, surrender rates, and mortality). Other embedded derivative liabilities are related to the Company's fixed-indexed annuity products, which contain equity-indexed features. The Company calculates the embedded derivative liabilities as the present value of future projected benefits in excess of the projected guaranteed benefits, using an option budget as the indexed account value growth rate, and considering an adjustment to reflect the risk of nonperformance on the Company's obligation and inputs, such as projected withdrawal and surrender activity or mortality. The Company calculates instrument specific credit risk using a blend of observable peer holding company credit spreads, adjusted to reflect the claim paying ability of the Company's insurance entities, as well as an adjustment to reflect the priority of policy claims.

Fair value of assets and liabilities

Significant unobservable inputs

The tables below present significant unobservable inputs used to value the Company's Level 3 financial assets and liabilities, and includes only those items for which information is reasonably available, such as data from internal determinations of fair value.

			As of December 31, 2025	
Level 3 assets ⁽¹⁾			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Other investments	\$	2,154	Discounted cash flow - discount rate	Decrease
			Discounted cash flow - terminal capitalization rate	Decrease

- (1) The funds withheld receivable at interest embedded derivative has been excluded from the above table. As discussed in Note 12 - Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's consolidated balance sheets.

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As of December 31, 2025				
Level 3 liabilities			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Embedded derivative – annuity products	\$	133,541	Future costs for options used to hedge contract obligations	Increase
			Policyholder behavior is a significant unobservable input, including surrender and mortality	Decrease

As of December 31, 2024				
Level 3 assets ⁽¹⁾			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Other investments	\$	22,505	Discounted cash flow - discount rate	Decrease
			Discounted cash flow - terminal capitalization rate	Decrease

- (1) The funds withheld receivable at interest embedded derivative has been excluded from the above table. As discussed in Note 12 - Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's consolidated balance sheets.

As of December 31, 2024				
Level 3 liabilities			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Embedded derivative – annuity products	\$	177,634	Future costs for options used to hedge contract obligations	Increase
			Policyholder behavior is a significant unobservable input, including surrender and mortality	Decrease

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The tables below set forth a summary of gains and losses and changes in the fair value of the Company's Level 3 assets and liabilities during the dates indicated:

	Year ended December 31, 2025							
	Net realized and unrealized gains (losses) included in					Balance, end of period		
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases				
(\$ in thousands)								
Assets:								
AFS fixed maturity securities:								
CLOs	\$	2,859	\$	—	\$	(1,200)	\$	1,659
Total AFS fixed maturity securities		2,859		—		(1,200)		1,659
Embedded derivative – funds withheld receivable at interest		(1,914,953)		182,677		—		(1,732,276)
Other investments		22,505		(20,416)		—		65
Total assets		(1,889,589)		162,261		—		(1,135)
Liabilities:								
Embedded derivative – annuity products		177,634		18,801		—		(62,894)
Total liabilities	\$	177,634	\$	18,801	\$	—	\$	(62,894)
							\$	133,541

	Year ended December 31, 2024				
	Net realized and unrealized gains (losses) included in				
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases	Balance, end of period
(\$ in thousands)					
Assets:					
AFS fixed maturity securities:					
CLOs	\$ 2,835	\$ —	\$ 24	\$ —	\$ 2,859
Total AFS fixed maturity securities	2,835	—	24	—	2,859
Embedded derivative – funds withheld receivable at interest	(2,059,313)	213,524	—	(69,164)	(1,914,953)
Other investments	23,415	(1,008)	—	98	22,505
Total assets	(2,033,063)	212,516	24	(69,066)	(1,889,589)
Liabilities:					
Embedded derivative – annuity products	176,498	38,001	—	(36,865)	177,634
Total liabilities	\$ 176,498	\$ 38,001	\$ —	\$ (36,865)	\$ 177,634

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Year ended December 31, 2025	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in thousands)					
Assets:					
AFS fixed maturity securities:					
CLOs	\$ —	\$ —	\$ —	(1,200)	\$ (1,200)
Total AFS fixed maturity securities	—	—	—	(1,200)	(1,200)
Other investments	65	—	—	—	65
Total assets	65	—	—	(1,200)	(1,135)
Liabilities:					
Embedded derivative – annuity products	—	114	—	(63,008)	(62,894)
Total liabilities	\$ —	\$ 114	\$ —	(63,008)	\$ (62,894)

Year ended December 31, 2024	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in thousands)					
Assets:					
Embedded derivative – funds withheld receivable at interest	\$ —	\$ —	\$ —	(69,164)	\$ (69,164)
Other investments	98	—	—	—	98
Total assets	98	—	—	(69,164)	(69,066)
Liabilities:					
Embedded derivative – annuity products	—	—	—	(36,865)	(36,865)
Total liabilities	\$ —	\$ —	\$ —	(36,865)	\$ (36,865)

(6) Composition of other assets, liabilities, insurance expenses, and general and administrative expenses

Other assets consist of the following:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Deferred income tax asset	\$ 1,401	\$ —
Miscellaneous assets ⁽¹⁾	6,249	9,294
Total other assets	\$ 7,650	\$ 9,294

(1) Includes net affiliate receivable amount of \$3.3 million as of December 31, 2025.

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Other liabilities consist of the following:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Deferred income tax liability	\$ —	\$ 2,886
Deferred expense reduction liability ⁽¹⁾	493	4,089
Accrued expenses and other payables	7,253	668
Total other liabilities	\$ 7,746	\$ 7,643

(1) Includes placement fees which are paid initially by the Company and then reimbursed by the Sponsor over time.

Insurance expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Commission expense	\$ 13,381	\$ 16,617
Reinsurance expense allowance	24,143	28,815
Premium taxes	1,653	1,987
Excise tax and other insurance expenses	11,802	13,574
Total insurance expenses	\$ 50,979	\$ 60,993

General and administrative expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Professional services	\$ 12,830	\$ 14,601
Other miscellaneous general and administrative expenses	1,747	1,765
Total general and administrative expenses	\$ 14,577	\$ 16,366

(7) Policy liabilities

The following reflects the reconciliation of the components of policy liabilities to the total balance reported in the consolidated balance sheets as of the dates indicated:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Policyholders' account balances	\$ 6,747,247	\$ 7,541,706
Liability for future policy benefits	4,322,198	4,465,744
Other policy-related liabilities ⁽¹⁾	207,392	243,428
Total policy liabilities	\$ 11,276,837	\$ 12,250,878

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

- (1) Other policy-related liabilities consist of cost of reinsurance liabilities (\$60.1 million and \$65.8 million), embedded derivatives associated with contractholder deposit funds (\$133.5 million and \$177.6 million), and outstanding claims (\$13.8 million and \$— million) as of December 31, 2025, and 2024, respectively.

Policyholders' account balances

The following reflects the policyholders' account balances roll-forward and average interest rates, net amount at risk, and cash surrender value as of and for the dates indicated:

	Year ended December 31, 2025				
	Fixed rate annuities	Fixed-indexed annuities	Interest sensitive life	Payout annuities ⁽¹⁾	Total
(\$ in thousands, except percentages)					
Balance as of the beginning of the period	\$ 2,538,453	\$ 1,519,299	\$ 3,385,412	\$ 98,542	\$ 7,541,706
Issuances and premiums received	19,224	2,681	39,192	—	61,097
Benefit payments, surrenders, and withdrawals	(311,846)	(538,340)	(109,076)	(21,184)	(980,446)
Interest ⁽²⁾	61,548	25,871	84,668	2,957	175,044
Other activity ⁽³⁾	(1,307)	4,565	(39,822)	(13,590)	(50,154)
Balance as of the end of the period	\$ 2,306,072	\$ 1,014,076	\$ 3,360,374	\$ 66,725	\$ 6,747,247
Average interest rate	2.63 %	2.02 %	2.65 %	3.63 %	2.56 %
Net amount at risk ⁽⁴⁾	\$ —	\$ —	\$ 607,746	\$ —	\$ 607,746
Cash surrender value ⁽⁵⁾	2,053,194	1,098,597	2,757,792	—	5,909,583

(1) Payout annuities consist of activity related to payout annuities without life contingencies.

(2) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, and other associated reserves.

(3) Other activity includes policy charges, fees and commissions, transfers, and assumption changes.

(4) Net amount at risk represents the difference between the face value of the life insurance policy and the reserve accumulated under that same policy.

(5) Cash surrender values are reported net of any applicable surrender charges.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

	Year ended December 31, 2024				
	Fixed rate annuities	Fixed-indexed annuities	Interest sensitive life	Payout annuities ⁽¹⁾	Total
(\$ in thousands, except percentages)					
Balance as of the beginning of the period	\$ 2,881,881	\$ 2,146,900	\$ 3,438,518	\$ 125,917	\$ 8,593,216
Issuances and premiums received	20,677	4,660	42,462	—	67,799
Benefit payments, surrenders, and withdrawals	(421,580)	(665,236)	(139,556)	(31,851)	(1,258,223)
Interest ⁽²⁾	66,691	36,376	88,658	4,104	195,829
Other activity ⁽³⁾	(9,216)	(3,401)	(44,670)	372	(56,915)
Balance as of the end of the period	\$ 2,538,453	\$ 1,519,299	\$ 3,385,412	\$ 98,542	\$ 7,541,706
Average interest rate	2.53 %	2.04 %	2.63 %	3.82 %	2.50 %
Net amount at risk ⁽⁴⁾	\$ —	\$ —	\$ 638,384	\$ —	\$ 638,384
Cash surrender value ⁽⁵⁾	2,266,370	1,609,323	2,767,773	—	6,643,466

(1) Payout annuities consist of activity related to payout annuities without life contingencies.

(2) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, and other associated reserves.

(3) Other activity includes policy charges, fees and commissions, transfers, and assumption changes.

(4) Net amount at risk represents the difference between the face value of the life insurance policy and the reserve accumulated under that same policy.

(5) Cash surrender values are reported net of any applicable surrender charges.

The following table presents the account values by range of guaranteed minimum crediting rates and the related range of difference, in bps, between rates being credited to policyholders and the respective guaranteed minimums. Account value, as disclosed below, differs from policyholders' account balance, as it excludes balances associated with index credits, contractholder deposit fund host balances, and other associated reserves. In addition, the policyholder account balance includes discounts and premiums on assumed business which are not reflected in the account value.

Range of guaranteed minimum crediting rates	As of December 31, 2025					
	Account values with adjustable crediting rates subject to guaranteed minimums:					
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	Total
	(\$ in thousands, except percentages)					
Less than 1.00%	\$ —	\$ —	\$ —	\$ 6	\$ 258	\$ 264
1.00% - 1.99%	152,290	83,561	99,144	128,159	63,626	526,780
2.00% - 2.99%	53,055	7,423	796	—	—	61,274
3.00% - 4.00%	655,498	5,248	11	—	8	660,765
Greater than 4.00%	1,900,626	230,670	—	—	—	2,131,296
Total	\$ 2,761,469	\$ 326,902	\$ 99,951	\$ 128,165	\$ 63,892	\$ 3,380,379
Percentage of total	81 %	10 %	3 %	4 %	2 %	100 %

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Range of guaranteed minimum crediting rates	As of December 31, 2024					
	Account values with adjustable crediting rates subject to guaranteed minimums:					Total
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	
(\$ in thousands, except percentages)						
Less than 1.00%	\$ —	\$ —	\$ —	\$ 21	\$ 198	\$ 219
1.00% - 1.99%	167,103	126,462	124,708	157,021	146,324	721,618
2.00% - 2.99%	63,138	9,769	812	—	—	73,719
3.00% - 4.00%	745,244	5,405	11	—	7	750,667
Greater than 4.00%	1,899,608	245,586	—	—	—	2,145,194
Total	\$ 2,875,093	\$ 387,222	\$ 125,531	\$ 157,042	\$ 146,529	\$ 3,691,417
Percentage of total	78 %	11 %	3 %	4 %	4 %	100 %

Liability for future policy benefits

The following table summarizes the balances of, and changes in, the liability for future policy benefits for limited-payment contracts for the dates indicated:

	Years ended December 31,	
	2025	2024
	Payout annuities ⁽¹⁾	
(\$ in thousands)		
Present value of expected future policy benefits		
Balance as of the beginning of the period	\$ 4,465,744	\$ 4,884,865
Balance at the original discount rate	5,610,757	5,993,647
Effect of changes in cash flow assumptions	(36,385)	(6,323)
Effect of actual variances from expected experience	18,859	12,715
Adjusted beginning of the period balance	5,593,231	6,000,039
Interest	111,405	113,009
Benefit payments	(470,325)	(502,291)
Ending balance at the original discount rate	5,234,311	5,610,757
Effect of changes in discount rate assumptions	(912,113)	(1,145,013)
Balance as of the end of the period	4,322,198	4,465,744
Net liability for future policy benefits	\$ 4,322,198	\$ 4,465,744

(1) Payout annuities generally only have a single premium received at contract inception; as a result, the liability for future policy benefits generally would not reflect a present value for future premiums for payout annuities.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The following table reflects the weighted-average duration and weighted-average interest rates of the future policy benefit liability as of the dates indicated:

	As of December 31, 2025	As of December 31, 2024
	Payout annuities	
Weighted-average interest rates, original discount rate	2.57 %	2.52 %
Weighted-average interest rates, current discount rate	5.05 %	5.40 %
Weighted-average liability duration (years)	7.27	7.57

The following reflects the undiscounted ending balance of expected future benefit payments for limited-payment contracts as of the dates indicated:

	As of December 31, 2025	As of December 31, 2024
	Payout annuities	
<i>(\$ in thousands)</i>		
Expected future benefit payments, undiscounted	\$ 6,590,513	\$ 7,097,386
Expected future benefit payments, discounted (original discount rate)	5,234,311	5,610,757
Expected future benefit payments, discounted (current discount rate)	4,322,198	4,465,744

Significant inputs, judgments, and assumptions used in measuring future policy benefits

Significant policyholder behavior and other assumption inputs to the calculation of the liability for future policy benefits include discount rates and mortality. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the assumption review conducted during the years ended December 31, 2025, and 2024, assumptions were revised for expected mortality on certain payout annuities and pension risk transfer products, resulting in a favorable impact of \$36.4 million and \$6.3 million, respectively.

For the years ended December 31, 2025, and 2024, the Company recognized \$(232.9) million and \$36.2 million in other comprehensive income (loss), respectively, due to changes in the future policy benefits estimate from updating discount rates. During the years ended December 31, 2025, and 2024, there were no changes to the methods used to determine the discount rates.

(8) Shareholder's equity

The maximum number of the Company shares authorized for issuance is 250,000 common shares, at par value of \$1 per share.

Return of capital

For the years ended December 31, 2025, and 2024, the Company has made a total of \$85.0 million and \$99.0 million, respectively, in returns of capital to its direct parent.

Dividends

For the years ended December 31, 2025, and 2024, respectively, the Company declared and paid dividends of \$97.5 million and \$256.0 million.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

For information on dividend restrictions on Ivy Re, please see Note 12—“Dividend restrictions and statutory information.”

(9) Accumulated other comprehensive income (loss)

Information regarding amounts reclassified out of each component of accumulated other comprehensive income (loss) as follows:

Components of accumulated other comprehensive income (loss)	Consolidated statements of income (loss) and consolidated statements of comprehensive income (loss) location	Years ended	
		December 31,	
		2025	2024
(\$ in thousands)			
Net unrealized investment gains (losses) on AFS fixed maturity securities:			
Net unrealized investment gains (losses)	Net investment-related gains (losses)	\$ (1,605)	\$ —
Net unrealized investment gains (losses), reclassified		\$ (1,605)	\$ —

(10) Income taxes

Ivy Re Limited and its respective subsidiaries are based in Bermuda and the United States.

Ivy Re is not subject to Bermuda income or capital gains tax under current Bermuda law. Bermuda enacted the Corporate Income Tax Act 2023 (“CITA”) on December 27, 2023. The CITA introduces a 15% corporate income tax rate, effective for tax years beginning on or after January 1, 2025. There is a five-year deferred effective date for certain groups with a limited international footprint, defined as being in six or fewer jurisdictions and having tangible assets less than €50.0 million outside of the jurisdiction where the multinational enterprise group has the highest total value of tangible assets. Ivy Re is part of a multinational enterprise group and is expected to qualify for the limited international footprint exemption to defer application of the CITA until 2030. As of 2030, Ivy Re is expected to have less than €750.0 million in revenue for the three years prior, and thus, it is not expected to be in scope for the corporate income tax.

The Company may be subject to a variety of transfer pricing or permanent establishment challenges by taxing authorities in various jurisdictions. The completion of tax examinations may result in changes to the amounts recognized in the Company’s consolidated financial statements.

The Company holds interests in certain U.S. entities that invest in real estate, the income of which is subject to U.S. income tax. Income tax expense (benefit) of \$(4.3) million and \$(212) thousand has been recorded for the years ended December 31, 2025, and 2024, respectively. As of December 31, 2025, the consolidated ending net deferred tax asset was \$1.4 million.

(11) Reinsurance

The Company has entered into a number of reinsurance treaties with Sponsor Insurance Subsidiaries, whereby it assumes fixed-rate and fixed-indexed annuities, whole life and universal life insurance policies primarily on a funds withheld basis.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The effects of all reinsurance agreements on the consolidated balance sheets were as follows:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Policy liabilities:		
Assumed	\$ 11,276,837	\$ 12,250,878
Total policy liabilities	\$ 11,276,837	\$ 12,250,878

The Company determines the appropriate amount of reinsurance based on evaluation of the risks accepted and on market conditions (including the availability and pricing of reinsurance). The Company evaluates the financial condition and monitors concentrations of credit risk with its Sponsor Insurance Subsidiaries. Based on its review of the Sponsor Insurance Subsidiaries' consolidated financial statements and reputations in the reinsurance marketplace, the Company held no allowance for uncollectible amounts as of both December 31, 2025, and 2024.

As of December 31, 2025, and 2024, respectively, the Company had \$10.1 billion and \$11.2 billion of funds withheld receivable at interest, with three Sponsor Insurance Subsidiaries related to funds withheld contracts. The assets supporting these receivables were held in trusts by the Sponsor Insurance company. The assets supporting the remaining funds withheld receivable at interest balance are held in a trust by an unaffiliated reinsurance company.

The effects of reinsurance on the consolidated statements of income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Assumed:		
Premiums	\$ 94,450	\$ 111,960
Policy fees	385	918
Policy benefits and claims	345,385	403,342

The Company is contractually liable for U.S. federal excise taxes under the terms of the reinsurance treaties it has entered with the Sponsor Insurance Subsidiaries. The obligation is calculated as 1% of premiums paid to the Company on a cash basis. The Company incurred \$11.7 million, and \$13.4 million of excise tax expense for the years ended December 31, 2025, and 2024, respectively. The excise tax expense is included in insurance expenses in the consolidated statements of income (loss).

(12) Dividend restrictions and statutory information

Ivy Re is subject to the Bermuda Insurance Act 1978, as amended, and related regulations (the "Bermuda Insurance Act").

The Bermuda Insurance Act limits the ability of Ivy Re to pay dividends or make capital distributions by stipulating certain margin and solvency requirements, and by requiring approval from the BMA prior to a distribution of 15% or more of an insurer's total statutory capital as reported on its prior year statutory balance sheet. Moreover, an insurer must submit an affidavit to the BMA, sworn by at least two directors and the principal representative in Bermuda of the Bermuda insurer, at least seven days prior to payment of any dividend which would exceed 25% of an insurer's total statutory capital and surplus as reported on

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

its prior year statutory balance sheet. The affidavit must state that, in the opinion of those swearing, the declaration of such dividend has not caused the insurer to fail to meet its relevant margins ("Bermuda Dividend Affidavit"). Accordingly, Ivy Re may distribute up to: (1) 100% of statutory surplus; plus (2) an amount less than 15% of statutory capital, upon providing the BMA with a Bermuda Dividend Affidavit and meeting applicable solvency requirements, without BMA approval.

With respect to margin and solvency requirements, the Bermuda Insurance Act prohibits Ivy Re from declaring or paying any dividends during any financial year if it is in breach of its solvency margin, or if the declaration or payment of such dividends would cause such a breach. If the insurer has failed to meet its minimum solvency margin on the last day of any financial year, such an insurer will also be prohibited, without the approval of the BMA, from declaring or paying any dividends during the next financial year. Ivy Re is also prohibited from declaring or paying a dividend when it has failed to comply with its enhanced capital requirement, until such noncompliance is rectified. As of December 31, 2025, Ivy Re exceeded all relevant capital requirements. The aggregate amount of dividends and capital distributions permitted to be made from Ivy Re, without a required approval from or a submission of an affidavit to the BMA during the year ended December 31, 2026, is \$500.0 million. Dividends and capital distributions made by Ivy Re during the year ended December 31, 2025 did not exceed the foregoing thresholds.

Statutory financial information

The Bermuda Insurance Act requires Ivy Re to prepare and file statutory consolidated financial statements with the BMA in accordance with BMA prescribed or permitted practices that may differ from U.S. GAAP. For example, Bermuda statutory surplus differs from U.S. GAAP primarily due to a modification that permits Ivy Re not to measure the embedded derivative included within certain funds withheld coinsurance agreements at fair value.

The Bermuda Insurance Act also requires Ivy Re to maintain certain measures of solvency and liquidity. Ivy Re's Bermuda statutory consolidated financial statements form the basis for assessing Ivy Re's liquidity, minimum solvency margin, and class of registration. These consolidated financial statements in turn form the basis for the preparation of the insurer's economic balance sheet. The economic balance sheet approach is a principles-based valuation approach to determine an insurer's capital adequacy, and is used as the basis for determination of Ivy Re's enhanced capital requirement.

(13) Commitments and contingencies**Contingencies****Legal matters**

As of the date of these consolidated financial statements, the Company is involved in regulatory matters. The Company expects that they may, from time to time, be involved in judicial, regulatory, and arbitration proceedings concerning matters arising in connection with the conduct of the Company's business. The Company will, at such time, assess the reasonable probability that a loss may be incurred, and reflect any such reasonably probable loss on its consolidated financial statements.

The Company has indemnified CWA for certain federal excise taxes which are paid in connection with transactions between the two parties. In 2022, the Internal Revenue Service ("IRS") opened an audit to review CWA's federal excise tax on premium tax payments for the quarter ended December 31, 2020. On May 5, 2023, a Revenue Agent Report was issued. CWA is actively appealing the results of the audit through a formal protest with the IRS, which remains in progress as of December 31, 2025. The assessment accelerates tax payments that otherwise would be payable in future years. The Company

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believes payment of the assessment of approximately \$48 million in this matter is not probable as of December 31, 2025.

(14) Subsequent events

The Company evaluated all events and transactions through April 23, 2026, the date the accompanying consolidated financial statements were available to be issued, that would merit recognition or disclosures in the consolidated financial statements, and determined that nothing arose that merits recognition or disclosure.